country’s phenomenal growth story in the period beginning with Deng Xiaoping’s Reform and Opening-Up Policy initiated in 1978. The private sector assumed an even more important role with China’s entry into the WTO in 1991. During this phase, SOEs continued to be important, but were generally confined to resource- and security-related domains. They were corporatized and made to operate in a competitive environment adopting modern management methods. But their role in the economy progressively declined as the private sector expanded much faster in a fairly liberal market-oriented economy. This policy orientation has increasingly undergone a change since Xi Jinping became the Party leader in 2012. Under Xi, SOEs are back as the ‘mainstay’ of the economy and are expected to take the lead in achieving the ambitious goals of the Made in China 2025. Some of the most successful Chinese multinationals, such as Alibaba, Didi Chuxing and Weibo, which had become influential economic entities within China and which also had patrons within the Party, have been brought to heel through stricter regulation and scrutiny. Party Committees have been established in private companies and will now take a direct role in management decisions. The Party has made it clear that no private enterprise or business leader can escape the Party’s authority and direction. It is being made clear that in seeking foreign business, Chinese companies have to observe national security regulations. Chinese data must not be allowed to flow into foreign hands.

In regulating private business, Xi has also imposed ideological norms. For example, commercial online tuition firms have been banned. The very lucrative video-streaming services, including video games, have been placed under severe limits and surveillance. There is a determined effort to eliminate what the Party calls ‘celebrity culture’. The new policy is designed to channel capital into more ideologically desirable channels and towards sectors that are important from the national security point of view. Enterprises in these favoured sectors, including private companies, would also receive State support. This includes the semiconductor sector, for example.

There have been major reforms of the PLA under Xi Jinping. He has